

504MAN Resource Management

Employee Engagement and Retention

Week 2 – Session 8

Don't forget to tap in

Our responsibilities:

- Understand why students aren't attending.
- Provide support to help you succeed.
- Be compliant with regulations and educational policies.
- Report students who are not attending to UKVI.

Your responsibilities:

- Use your own ID card to register your attendance.
- Be familiar with and follow institutional policies and legal regulations.

- !! **Do NOT tap in on behalf of other students.** This can result in a violation of visa conditions and/or institutional policy and procedures.
- !! **Do NOT give your student ID card to someone else** to let them into the library or other campus buildings as this is an offence under institutional regulations.



Extensions & Deferrals – What You Need to Know

-  Deferring may delay course progression or graduation.
- Tier 4/Student Visa holders: Deferring may affect Post Study Visa eligibility.
- For visa advice, contact: visahelp.io@coventry.ac.uk
-  Use one form per semester for multiple components/modules.
- Do not submit multiple forms.
- Form link: <https://livecoventryac.sharepoint.com/sites/students-registry-extensions-deferrals/SitePages/Extension---Deferral-Form.aspx>
-  Before submitting:
- Engage with your tutor and library academic writing support.
- Where required, seek support from our Welfare Team through Spectrum Life
- For help with form completion, contact the Student Success Coaches at Main Reception.

Intended Module Learning Outcomes

1. Analyse the importance of effective and efficient use of resources in organisations
2. Analyse principles which underpin effective procurement of resources
3. Investigate and plan the resources required to achieve an organisations aim and objectives
4. Analyse the procedures and practices that ensures resources are maximised and remedial actions taken where appropriate
5. Evaluate and appraise the use of resources against organisational plans
6. Analyse principles that underpin effective supply chain management

Session Outcomes

At the end of this session learners should be able to:

- 
- 
- 1 Understand the meaning of engagement in the context of work and employment
 - 2 Discuss the benefits of high employee engagement
 - 3 Describe concerns about employee engagement
 - 4 Examine the arguments about labour turnover programmes
 - 5 Explore approaches to improve engagement and retention

Employee engagement

- Go to the CIPD factsheet below on employee engagement and motivation.

<https://www.cipd.org/uk/knowledge/factsheets/engagement-factsheet/>



shutterstock.com • 1385282561



There is a widely held view that an **engaged workforce is more likely to deliver higher performance** than one that is disengaged.

It is clear that relatively **high levels of engagement** tend to correlate quite strongly with relatively **high employee retention rates**.

Engaged employees are a good deal less likely to **resign and seek alternative** employment.

Engagement represents **more than job satisfaction, commitment or motivation**.

Engaged employees have an **emotional attachment** to their work and/or organisation which leads them to **expend greater energy**.

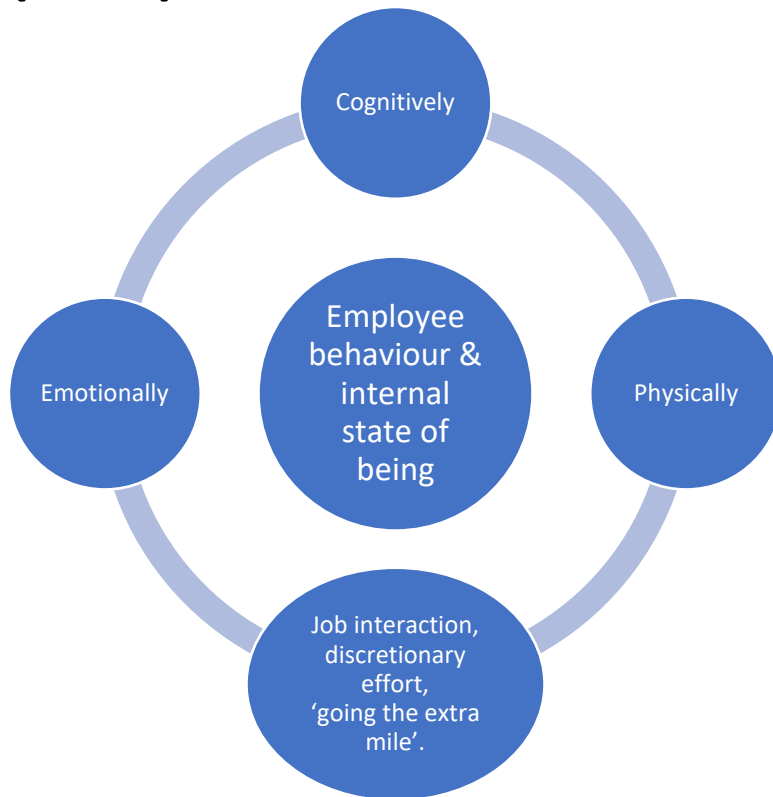
It is agreed that **positive engagement** is beneficial to both organisation and individual employee.

It is a **multidimensional concept which may vary widely** between individuals, across workplaces and from country to country.

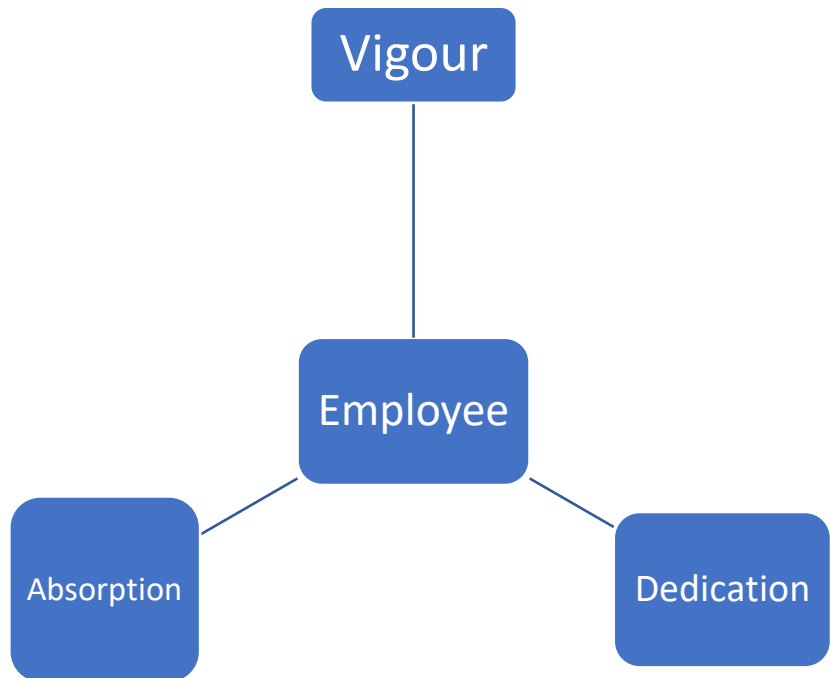
It links to HRM terms such as '**organisational citizenship**', 'working beyond contract'

Employee Engagement Definition

Kahn; Macleod Review (2009)



Utrecht University group of occupational psychologists



Emotional engagement

- A situation in which employees have strong **emotional ties to their managers**, feel their opinions count and feel that their managers have an **interest in their development**.

Cognitive engagement

- A situation in which **employees know what is expected of them**, understand their purpose or mission, are **given opportunities to excel and grow**, and are given information about how to improve their progress.

The benefits of employee engagement

A Gallup survey over 142 countries in 2013 found that:

- There is **greater variation** in terms of *employee engagement between different business units within the same organisation* than between organisations.
- **Positive correlations** existed between *levels of employee engagement in a business unit and the success of that business unit*.
- There was a **strong relationship** between *levels of employee involvement and retention rates*.

The benefits of employee engagement

Lower
absenteeism

Higher
employee
retention

Increased
productivity

Improved
quality

Increased sales

Higher
profitability

Enhanced
customer loyalty

Faster business
growth

Higher
likelihood of
business success

86% of engaged employees 'very often feel happy at work'

45% of engaged employees 'get a great deal of their life happiness from work'

54% of actively disengaged staff state that '**work stress** has caused them to behave poorly with friends and families'

54% of actively disengaged staff report that their **work lives 'are having a negative effect** on their physical health'

Read

- *Go to Aula and read the article – “How to reduce employee turnover in fashion retail”*
- *Summarise your learning of the article and share your thoughts with the rest of the class.*



Employee Retention and Reward



- According to KPMG (2023) “*Attracting and retaining the best talent who are committed and skilled is crucial for every organisation's success*”.
- “An *effective reward and retention* mechanism for employees not only drives performance but incentivises the right behaviours”.
- “Likewise, a carefully considered *remuneration strategy* could save costs for both the employees and employer & this approach can work both during a tentative recovery or a planned expansion”.

-
- A close-up photograph of a computer keyboard. The majority of the keys are white with grey lettering. A single key, located in the lower right quadrant, is a vibrant red color. On this red key, the text 'I ♥ my job' is printed in a white, sans-serif font. The heart symbol is a simple white outline. The keyboard is set against a dark, blurred background, and the lighting creates soft shadows between the keys.

Retention is measured by **labour turnover rates**, but turnover can take many forms, e.g.:

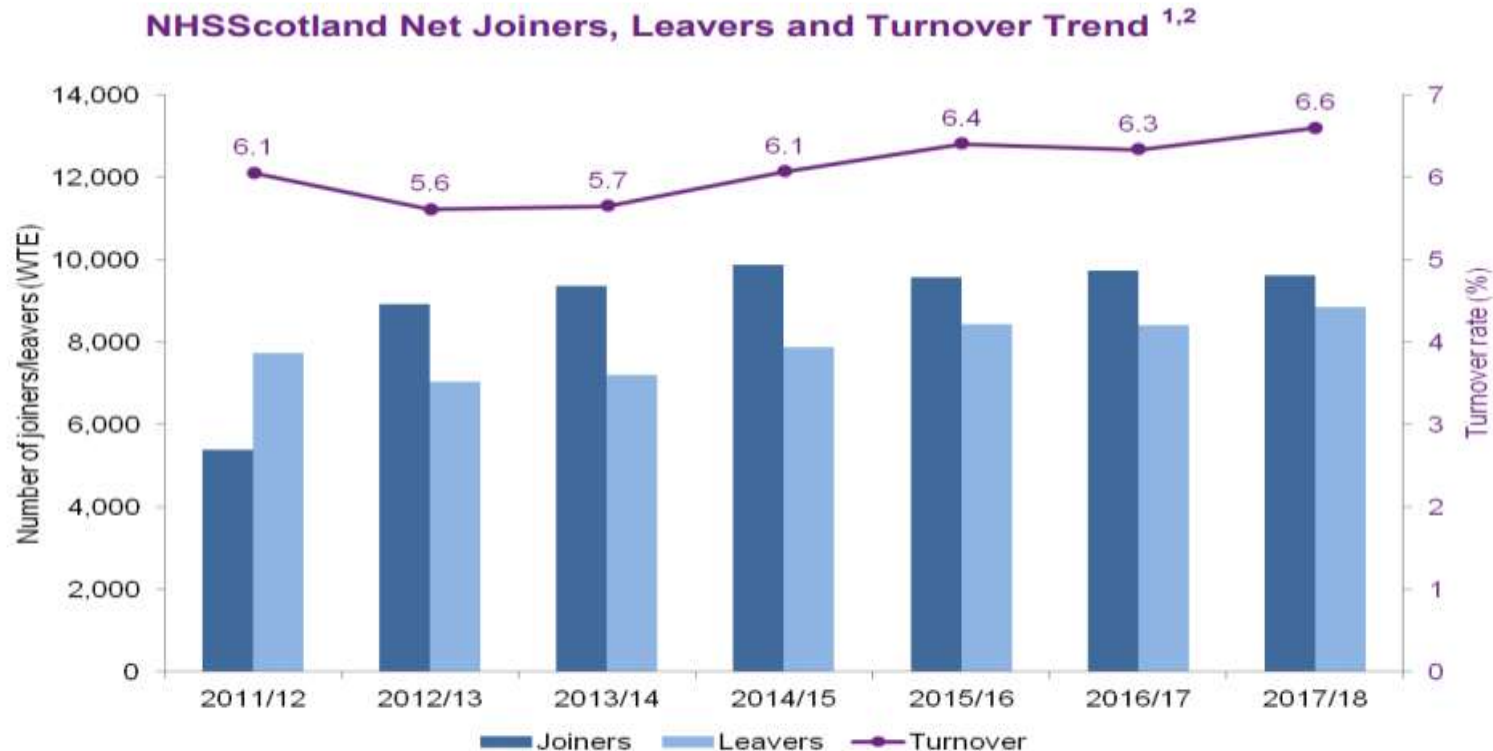
- Resignation
- Retirement
- Dismissal
- Redundancy.

High turnover can be **very costly**.

Cost minimisation strategies usually focus on **avoidable turnover** such as employee resignations.

Employee turnover index

- **Employee turnover index** = $\frac{\text{Number of leavers (usually 1 year)}}{\text{Average number of employees (usually 1 year)}} \times 100$



Notes:

1. Excludes HCHS medical and dental training grades. This is to avoid the distortion caused by the frequent rotation of staff in training placements.
2. NHSScotland joiners and leavers do not include staff changing roles or moving between NHS Boards.

<http://www.isdscotland.org/Health-Topics/Workforce/Publications/2018-06-05/2018-06-05-Workforce-Report.pdf>

Positive impact of turnover

Organisations need 'fresh energy' to avoid becoming stale or stunted.

Turnover helps managers to keep firmer control over labour costs.

Turnover may result in the loss of poor performers

Turnover is costly in terms of the recruitment process.

Leavers represent the loss of a trained resource possibly to competitors.

High turnover may be symptomatic of a poorly managed organisation.

Negative impact of turnover

Functional turnover

- Resignations which are **beneficial to both employer and employee.**

Outside factors

- Resignations for **reasons not related to work.**

Push factors

- Resignations resulting from **dissatisfaction** with the work or organisation.

Pull factors

- Resignations resulting from the **attractiveness of rival employers.**

Seven 'hidden reasons employees leave' (Branham, 2005)

1

- Employees feel the job or workplace is not what they expected

2

- There is a mismatch between the job and person

3

- There is too little coaching and feedback

4

- There are too few growth and advancement opportunities

5

- Employees feel devalued and unrecognized

6

- Employees feel stress from overwork and have a work/life imbalance

7

- There is a loss of trust and confidence in senior leaders

Team activity - Spider Diagram Activity



Activity

30 minutes

- *What approaches can be used to tackle Branham's (2005) seven leaving job reasons (previous slide)? Relate this to the fashion industry.*
- *Draw a spider diagram and use it to illustrate your answers to the class.*

Use flip chart paper & markers

Engagement and Retention Strategies

Managing expectations

- Give employees a **realistic job preview**.

Pay

- A 'hygiene' factor rather than a 'motivator'
- **High pay may not**, of itself, result in engagement or retention.

Training and development

- Effective **induction training**, *ongoing* training and **career development** can influence engagement positively and reduce turnover.

Flexible working arrangements

- **Family or personal reasons** often influence resignations.
- **Flexible working** arrangements can help retain and engage good staff.

Improving the quality of line management

- **Better line management** can improve both employee engagement and retention.
- HR can **install good systems of selection** and training for managers.

Class Task: Class discussion



Activity

10 minutes

“People leave their managers and not their organisations?”



Traffic Light *it*

Where is your learning at?



Activity

5 minutes



Red = I have misunderstood some of the topics. (write down 2 questions that you need help with)

Amber = I have understood most of the topics so far (write down 1 question and 1 key theme you have understood)

Green = I have understood the topics so far (write down 2 key themes from the lesson to show your understanding)

Session Reference List

- Armstrong, M. and Taylor, S. (2017). *Armstrong's handbook of human resource management practice*. 1st ed. London: Kogan Page.
- Braham, L. (2005) *the seven hidden reasons employees leave*. New York: The American Management Association
- Breugh, J. A., & Starke, M. (2000). Research on employee recruitment: So many studies, so many remaining questions. *Journal of Management*, 26(3), 405–434.
- CIPD (2015) *Resourcing and Talent Planning: Annual Survey Report 2012*. London: CIPD. Reproduced with the permission of the publisher, the Chartered Institute of Personnel and Development, London (www.cipd.co.uk).
- Gallup (2013) *State of the Global Workplace. Employee Engagement Insights and Advice for Global Business Leaders*, available from <https://www.gallup.com/services/178517/state-global-workplace.aspx> [25.09.2018]
- Kahn, W.A. (1990). Psychological Conditions of Personal Engagement and Disengagement at Work. *Academy of Management Journal*. 33. 692-724.
- Searle R. (2004) 'New technology: The potential impact of surveillance techniques in recruitment practices', *Personnel Review*, Vol. 35, No.3, pp. 336-51
- Stairs, M., & Galpin, M. (2010). Positive engagement: From employee engagement to workplace happiness. In Linley, P. A., Harrington, S., & Garcea, N. (Eds.), *Oxford handbook of positive psychology and work* (pp. 155-172). New York, NY US: Oxford University Press.
- Torrington, D., Hall, L., Atkinson, C. and Taylor, S. (2017) *Human Resource Management*. 10th edn. Harlow: Pearson

Reading



Essential Reading

- Torrington, D., Hall, L., Atkinson, C. (2025). *Human Resource Management* (12th edition). Pearson
- Torrington, D., Hall, L., Atkinson, C. (2020). *Human Resource Management* (11th edition). Pearson

Recommended Reading

- Noe, R.A., Hollenbeck, J.R., Gerhart, B.A., & Wright, P.M. (2024). *Fundamentals of human resource management* (Ninth edition). McGraw Hill.
- Noe, R.A., Hollenbeck, J.R., Gerhart, B.A., & Wright, P.M. (2022). *Human resource management: gaining a competitive advantage* (Thirteenth edition). McGraw Hill.
- Heizer, J., Render, B., & Munson, C. (2024). *Principles of Operations Management: Sustainability and Supply Chain Management* (Twelfth edition). Pearson.
- Slack, N., & Brandon-Jones, A. (2024). *Operations and process management* (7th edition). Pearson.
- Slack, N., & Brandon-Jones, A. (2018). *Operations and process management principles and practice for strategic impact* (Fifth edition). Pearson.
- Hill, A., & Hill, T. (2011). *Essential operations management* (Second edition). Palgrave.

Additional Reading

- Bratton, J., & Bratton, A., (2022) *Human Resource Management: A critical approach*. 7th edn. London UK: Bloomsbury Publishing Plc
- **CMI Website : Management Direct**